

Merz's EU budget squeeze faces a test at home

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CIAO THERE. It's Gerardo Fortuna, coming to you from a city that is officially crowded again after a flurry of back-to-school parties — even if plenty of eyes are on New York, Paris and Berlin today. More on all three below.

In today's Playbook:

- Brussels has a message for the U.N. General Assembly: When politicians aren't safe, neither is democracy.
- Kyiv wants the EU to make up for removing two Russian billionaires from its sanctions list by adding two more.
- Faces in the crowd: Kata Tüttö, Vladimir Potanin, Gabriel Attal, Hendrik Wüst, Michael McGrath, Jean-Luc Mélenchon, António Costa, Jürgen Ebner, Marine Le Pen, Friedrich Merz, Vladimir Lisin, Tony Blair and more ...

On today's Brussels Playbook Podcast: Zoya and Sarah discuss why the U.K.'s early prisoner release plan has seriously spooked its EU neighbors.

A message from Google: Useful conversations in this town happen over coffee. To help fuel these conversations we opened Connected Cup, an AI pop-up by Google, Rue d'Arlon, 80. Weekdays 08:00 to 16:00 until 16 October. Explore the programme .

DRIVING THE DAY

PUMPING THE BUDGET BRAKES: If European Council President António Costa can't persuade Friedrich Merz to soften his push for budget cuts, maybe Germany's state premiers can. That's the hope in Brussels as the chancellor meets the powerful leaders of the Länder in Berlin today, I report with

Gregorio Sorgi, Zoya Sheftalovich.

Pressure from Germany's regions may be one of the few remaining checks on Merz's drive to shrink the EU's next seven-year budget, three officials familiar with the talks told Playbook, granted anonymity to speak frankly about the expectations. Merz is pushing to cut hundreds of billions of euros, complicating the European Council president's effort to secure a deal by year-end — before a string of European elections makes a compromise even harder to achieve.

Germany's state premiers want to preserve funding that flows directly to their regions, particularly EU cash for poorer areas and agricultural support — a position that may temper Merz's hardline approach at the negotiating table. North Rhine-Westphalia, led by Hendrik Wüst — often touted as a future CDU leader — is calling to preserve “the strong role of the regions in cohesion policy and the use of European funds” in a statement seen by Playbook.

Merz's meeting today with the premiers and Finance Minister Lars Klingbeil is “absolutely essential,” a senior German government official told POLITICO's Nette Nöstlinger. He needs their backing, the official said, and the meeting should show him how much room he has to negotiate in Brussels. “Germany needs to step forward with a unified position.”

Merz is under pressure: The chancellor heads into the meeting after bruising regional elections in Berlin and Mecklenburg-Western Pomerania. In the latter, Merz's center-right CDU fell below the 5% threshold for entering parliament — a historic first for the party. Both are in eastern Germany, where public investment is seen as key to modernizing industry, cutting emissions and spurring growth.

“Many German regions understand this challenge very well,” Committee of the Regions President Kata Tüttő told Playbook. Asking them to manage that transformation with less EU funding risks “turning transition into divergence,” she said — in other words, widening the economic gap.

Don't expect the Länder to declare war on Merz, one EU official warned. They want more cohesion money but are wary of weakening the chancellor's hand in the wider budget talks. The fight is also about more than the cohesion cash, according to a second EU official. “It's not about dividing the cake, but about the size of the cake.”

The calculation: Brussels will be watching whether Merz's election setbacks harden his stance as he seeks a budget win to take home — or whether pressure from the Länder opens room for compromise at the Council table.

BIG AND BREAKING

COSTA TAKES THE STAGE: The EU's main event at UNGA comes this evening (Brussels time) when António Costa is expected to address the plenary and defend multilateralism as “the only realistic way to address the problems of today” — while calling for a better system to tackle challenges such as AI and the climate crisis.

Don't retreat: Costa will urge world leaders to “reform, renew and reinvest” in the strained rules-based order, with the U.N. still at its center.

XI ARRIVES: Chinese leader Xi Jinping has arrived in Washington for two days of meetings. Shortly after he touched down last night, U.S. Treasury Secretary Scott Bessent said China and the U.S. had agreed to extend their trade truce for another two months, my stateside colleagues report .

AI WATCH: World leaders calling for global oversight of artificial intelligence will have to do it without Donald Trump, judging by the talk at UNGA ... Aussie PM Anthony Albanese revealed that OpenAI agents autonomously hacked into an Australian government website ... but European tech leaders are pushing back against the doomsday warnings .

PARIS IN THE SPOTLIGHT: French presidential hopefuls Gabriel Attal, Marine Le Pen and Jean-Luc Mélenchon will take the stage at our first Playbook Paris Live from about 2 p.m. Details of the event here and you can follow it on our English-language live blog .

Speaking of Mélenchon ... The left-wing leader's economic advisers are scrambling to explain his controversial plan to write off billions of euros worth of French debt, though he's not tamping down his language.

RUSSIA SANCTIONS

TWO OFF, TWO ON? The EU created a risky precedent by lifting sanctions against prominent Russian businessmen Alisher Usmanov and Mikhail Fridman, but it could win back credibility by sanctioning two other billionaires who have so far not been listed, Kyiv's commissioner in charge of sanctions policy told Playbook.

Tale of two Vlds: Vladimir Lisin and Vladimir Potanin control big companies in the steel and nickel industries that are beneficial to Russia's war economy. Their inclusion in the next batch of individual sanctions would effectively cut off their enterprises — NLMK and Nor Nickel — from trading in the EU, said Vladyslav Vlasniuk, who advises Ukrainian President Volodymyr Zelenskyy on sanctions.

"Everyone is aware about these guys but avoiding any action against them," Vlasniuk said. "But now arguably there is leverage to push this forward."

Too big to sanction? The size of the businesses owned by Lisin and Potanin — and their substantial footprints in Europe — have so far kept them off the sanctions list. Lisin's NLMK operates steel processing facilities in the Belgian region of Wallonia, leading the Belgian government to oppose his listing. The company also has production sites in Strasbourg, France; Verona, Italy; and Frederiksværk, Denmark.

As for Potanin, Europe's ongoing dependency on Russian nickel and palladium, particularly in the car industry, has kept him off the list — enabling the billionaire to grow his empire during Russia's war against Ukraine.

Too many exceptions: Vlasniuk linked the cases of Lisin and Potanin to the ongoing debate about whether to sanction Aluminat, an Irish exporter that supplies Russia. "It's always the same story. You can have 20 countries for whom [sanctioning] is an obvious decision and one who opposes," he said. "These alumina exports should really be banned. It's obvious for us, and we have plenty of ideas for what to do next."

A spokesperson for Lisin wrote to Playbook: "This information campaign is unfair competition, where the sanctions-related agenda is leveraged as a way of pressure to eliminate a competitor from the market and to inflict further substantial harm on the European economy. It is well established and has long been recognized that neither Mr. Lisin nor NLMK cooperate with the enterprises of the Russian

military-industrial complex. NLMK manufactures exclusively civilian products.”

Representatives for Potanin did not immediately reply to a request for comment.

20-SECOND PLAYBOOK PRIMER

The big decision this week on Russia sanctions was taken at a Coreper meeting, but what is that? It's the Committee of the Permanent Representatives, the main preparatory body for Council of the EU meetings, which means it's where envoys try and reach compromises before ministers get together. There are two types of meeting: Coreper I is deputy permanent representatives and Coreper II is permanent representatives (that's "permanent" because they are based in Brussels and "representative" as they represent national capitals. They have the status of ambassadors to the EU).

TALK TO PLAYBOOK: On the Brussels Playbook Podcast, Zoya asked what your country's favorite sport is. WhatsApp us on +32 491 050629 and listen from 7 a.m. to hear if we give you a shoutout.

PROTECTING POLITICIANS

NOT SAFE TO SPEAK: Increasing threats, intimidation and violence against politicians, candidates and others who participate in public life are affecting democracies around the world, the EU's Democracy Commissioner Michael McGrath will tell ministers and U.N. officials at the General Assembly in New York. The Commission is due to propose a recommendation on the safety of political representatives later this year.

Targeted: One of Ireland's best-known politicians, Michael Healy-Rae, was assaulted in Dublin last week. Former British MEP and MP Ann Widdecombe was killed in her home in July. In Germany, MEP Matthias Ecke was badly beaten while putting up campaign posters in 2024. Slovakia's Prime Minister Robert Fico survived an assassination attempt that year. The list also includes the murders of British MPs Jo Cox in 2016 and David Amess in 2021, and the 2025 assassination of former Ukrainian parliament speaker Andriy Parubiy.

"If people are afraid to stand for election or speak openly because of threats and abuse, our democracy is weakened," McGrath said in a statement to Playbook. "People who choose to participate in political life must be able to do so safely and without intimidation."

Court in the crosshairs: McGrath will also attend an International Criminal Court ministerial meeting and reaffirm the EU's support for the court as Washington steps up pressure on it, including by imposing sanctions on court officials.

5 MORE THINGS GETTING US TALKING

EINS, ZWEI, EUROPOLIZEI: German police official Jürgen Ebner has been picked to lead Europol after weeks of horse-trading among EU capitals.

CLIMATE CALL: Austria wants Brussels to reform its Emissions Trading System so that "private investment becomes profitable again," according to a discussion paper obtained by POLITICO. "We want to protect the climate without driving our industrial jobs out of Europe," said Economy and Energy Minister Wolfgang Hattmannsdorfer.

STANDING FIRM: EU capitals are warning London not to make its Brexit reset conditional on guarantees for British firms as Brussels' protectionist push gathers pace.

MADAME SECRETARY-GENERAL? Teresa Ribera wants to see a woman leading the U.N. for the first time, as the race to succeed António Guterres heats up.

SKIP THE THREATS: The EU's top diplomat, Kaja Kallas, told The Economist in an interview to be released later today that Washington could have gotten its Greenland deal without Donald Trump's public pressure campaign.

BRUSSELS CORNER

WEATHER: Sunny intervals. High of 19C.

ENVOYS ON ROTATION: New Zealand's EU Ambassador Simon Draper is heading home on Monday. He will be succeeded by Mark Talbot, who'll be familiar to some in Brussels from his stint here from 2001 to 2004 ... and Tamaki Tsukada will soon start work as Japan's ambassador to the EU, succeeding Kazutoshi Aikawa.

SPOTTED ... sipping Champagne, carving vast piles of cheese and listening to traditional drummers at the Swiss Mission's annual soirée at the Bois de la Cambre last night: Swiss Ambassador to the EU Rita Adam and Ambassador to Belgium and NATO Jacques Pitteloud; Enlargement Commissioner Marta Kos; German Ambassador Martin Kotthaus; Slovak Ambassador Juraj Nociar; Icelandic Ambassador Stefán Haukur Jóhannesson; Moldovan Ambassador Daniela Morari; New Zealand Ambassador Simon Draper; Canadian Ambassador Jonathan Wilkinson; Oksana Diakun, acting head of the mission of Ukraine; British Ambassador to Belgium Anne Sherriff; Pascal Heyman, chief of staff for foreign affairs and security to the Belgian prime minister; Peter Claes, diplomatic adviser to King Philippe of the Belgians; Swiss spokesperson Sabrina Thalmann; the U.S. Mission's Norman Thatcher Scharpf and Sara Mathews; Cypriot spokesperson Maria Phanti; Lithuanian Coreper I spokesperson Kamilė Ivanauskienė; Council press officer Miru Georgescu; and POLITICO's Gabriel Gavin.

Also spotted ... at the Tangla Hotel, marking 55 years of diplomatic relations between China and Belgium: NIO's David Spence; Chinese defense attaché Senior Colonel Chen Lifeng; British defense attaché Colonel Nick Thom; the FT's Henry Foy; and POLITICO's Jordyn Dahl.

BRUSSELS' SAUNA CIRCUIT: Estonia's permanent representation is holding a briefing in its sauna tonight (swimwear required), Sebastian Starcevic writes, which got us thinking: where do EU officials and diplomats go to sweat it out?

Some like it hot: The Berlaymont headquarters of the European Commission has a sauna, which is for commissioners and officials by reservation only. Finland's permanent representation also famously has a nice sauna, but an official told Playbook it's undergoing renovations.

The Finnish ambassador's residence is sauna-equipped, though, as is the Finnish Seamen's Mission in Brussels, which can be accessed by the public. So can Animo's sauna, and Aspria's, with both gyms frequented by Eurocrats.

NIGHT TRAIN DIARIES: We've written plenty in this corner about Europe's sleeper-train revival. Last night, POLITICO mobility reporter Martina Sapio put it to the test from Berlin to Brussels — and kept me entertained with running commentaries as I worked the Playbook night shift. It seems unfair not to

share.

“We stopped at this station in the middle of nowhere,” read one late-night text. “Speakers say there’s a medical emergency on board and doctors are coming.” Martina and her cabinmates — a 24-year-old Interrailer embracing the adventure and a bona fide train aficionado — began wondering whether someone had overdone it at the bar.

It wasn’t the booze. A bed had apparently fallen on a train manager, colleagues told Martina during the unscheduled stop.

There were a few drawbacks: Rock-hard mattresses, bunks requiring a minor climbing expedition and a roughly 14-hour journey — versus 8 hours by car or 90 minutes in the air. Plenty of time to become intimately acquainted with both your carriage and the German rail network.

Still, there were compensations: Great service, no liquid limits and plenty of vintage charm. The trade-off: no morning shower and a journey that asks you to really commit to the romance of rail. By the time you read this, I’ll know whether Martina actually made it to Brussels. Fingers crossed.

TOP OF THE PLAYBOOKS

Berlin: Friedrich Merz and his government will be watching Donald Trump’s meeting with Xi Jinping closely for any signals on AI regulation , as they grow increasingly worried about the risks of uncontrolled superintelligence.

Paris: Socialist presidential candidates were divided in their first debate over whether to join forces with Jean-Luc Mélenchon.

London: Tony Blair is urging Andy Burnham to make rejoining a reformed EU within a decade the cornerstone of his 10-year plan.

Washington: Democratic presidential hopefuls are already looking beyond the midterms to position themselves for 2028.

Ottawa: A POLITICO poll reveals most Canadians think standing up to Trump is worth paying higher prices.

Canberra: Anthony Albanese was expected to sign a new security pact with Ukraine when he met Volodymyr Zelenskyy in New York.

After London in July and Brussels two days ago, Playbook Live heads to Paris today. Tune in at 2 p.m. as Playbook Paris takes you behind the scenes of France’s 2027 presidential race, from the latest power plays to the strategies shaping the campaign, with leading candidates joining the conversation. Discover more about the event [here](#) and register to watch online .

AGENDA

— U.N. General Assembly (UNGA) continues in New York. European Council President António Costa addresses the assembly around 8:15 p.m. Brussels time, per his schedule, though times are fluid. Watch live .

- German Chancellor Friedrich Merz meets state premiers at the Chancellery in Berlin to discuss the EU's next seven-year budget.
- Competitiveness Council meets in Brussels. Press conference with Commission Executive Vice President Stéphane Séjourné and Irish Enterprise Minister Peter Burke around 4:30 p.m. Follow live .
- Political and Security Committee meets in Brussels at 9:30 a.m.
- European Parliament President Roberta Metsola participates in a discussion organized by the Atlantic Council in New York at 3 p.m. Brussels time.
- EU foreign policy chief Kaja Kallas co-chairs a ministerial meeting of the Group of Friends of Accountability on Ukraine; co-hosts the annual meeting of the Global Alliance for the Implementation of the Two-State Solution; and speaks at the Ad Hoc Liaison Committee ministerial meeting on Palestine.
- Commission Executive Vice President Henna Virkkunen visits Nuuk, Greenland, where she meets Joint Arctic Command chief Søren Andersen.
- Commission Executive Vice President Roxana Mînzatu is in Washington, where she meets IMF Managing Director Kristalina Georgieva.
- Séjourné meets Danish Business and Competitiveness Minister Martin Lidegaard.
- Enlargement Commissioner Marta Kos receives U.S. Ambassador to the EU Andrew Puzder.
- Defense Commissioner Andrius Kubilius meets members of the Dutch parliament's Standing Committee on Defense and Dutch Deputy Prime Minister and Defense Minister Dilan Yeşilgöz-Zegerius.
- Mediterranean Commissioner Dubravka Šuica attends a UNGA ministerial roundtable on health and humanitarian access in Gaza, co-hosted by the U.K., Jordan and Qatar.
- Agriculture Commissioner Christophe Hansen delivers a keynote speech at the EU Agri 2040 Research Conference.
- NATO Secretary-General Mark Rutte delivers a speech at a commemorative event hosted by the 9/11 Memorial & Museum in New York at 2:30 p.m. Brussels time.
- European Economic and Social Committee plenary continues in Brussels.

BIRTHDAYS

MEP Ivan David; former MEP Miroslav Radačovský; Federation of European Publishers' Quentin Deschandelliers; Amazon's James Waterworth; Karim Antonio Lesina from Millicom; Qualcomm's Audrey Scozzaro Ferrazzini; Council of the European Union's Clementine Mercedes Curtin.

Playbook is brought to you by POLITICO's EU Politics team: Gerardo Fortuna, Nicholas Vinocur, Gabriel Gavin, Zoya Sheftalovich, Max Griera, Mari Eccles, Hanne Cokelaere, Sebastian Starcevic and Gregorio Sorgi. And: reporters Milena Wälde and Daria Zakharova, editors Alex Spence and James Panichi, and producers Dean Southwell and Hugh Kapernaros.

****A message from Google:** People are asking important questions about the future of AI — where it's headed, and what it will mean for work and daily life. Answers to those questions require quality data.

Google's AI & Economy ATLAS (Activity, Task, Landscape, and Adoption Study) is an ongoing research effort that gives policymakers, researchers, industry experts and the public insights to contribute to a better understanding of how AI is transforming the economy and work today. To learn more, join us on October 15 for a fireside chat with Google's Chief Economist Fabien Curto Millet and Chief Economist & Executive of the European Policy Centre Fabian Zuleeg at the Connected Cup, an AI Pop-up in the Brussels EU Quarter (Rue d'Arlon, 80). Open weekdays 08:00 to 16:00 until 16 October, it's a space to try interactive demos, ask questions, and engage with the people shaping European tech. Explore the full programme .**

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